

Slide 1 -- Title Slide

Good afternoon, respected Vice-Chancellor Sir, esteemed professors, and my colleagues.

My name is Saumya Singh, and today I will present my final defence. The title of my study is "Corporate Responsibility Regarding the Concern of Greenwashing, Policy and Legal Initiatives -- A Critical Study."

Over the next thirty to forty minutes, I will take you through my study.

Slide 2 -- What Is Greenwashing?

Let me begin with a basic question. What is greenwashing?

It helps to think of greenwashing in two parts. The problem lies in the gap between them.

The first part is the green facade. It is what the company shows us. We see earthy brown and green packaging, leaves on the label, and vague words like "100% Eco", "Natural", and "Recycled".

Companies may also create their own badges and design them to look like official third-party certifications.

Another tactic is halo marketing. A high-budget campaign focuses on one minor eco-feature, while the core operations that cause pollution are never mentioned.

The second part is the hidden reality. Operations may still rely heavily on fossil fuels while generating toxic emissions and plastic waste. There is also a verification gap. There is no scientific proof, independent audit, or verifiable data supporting the claim.

So greenwashing can be defined as any misleading, exaggerated, vague, or unsubstantiated environmental claim made by an entity.

Slide 3 -- Why Greenwashing Matters To Us

Why should this be of any concern to us? Because greenwashing affects us in three ordinary ways.

First, it affects our wallets. When we deliberately pay extra for something labelled eco-friendly, we spend our hard-earned money in good faith. Too often, that premium supports a PR campaign rather than a genuine environmental solution.

Second, it affects our choices. Millions carry cloth bags and consciously choose brands they believe are environmentally responsible. Deceptive claims make it harder for those choices to have the effect that we intend.

Third, it affects our future. A slogan like "Net-Zero by 2050" creates a sense of comfort, the feeling that someone else is already solving the climate crisis. But if the slogan is misleading, then it is dangerous because it delays urgent climate action while extreme weather events continue to increase.

This leaves us with an important question. When every label claims to be green, how to protect authenticity? And how to protect consumers, investors, and the public?

Slide 4 -- The Scale of the Problem in India

Let me put this problem into perspective, using some data.

Let us start with consumer-facing deception. ASCI, that is the Advertisement Standards Council of India, reviewed 211 environmental advertisements in its 2024-25 Annual Report. And every one of those ads required modification because the environmental claims in them were not substantiated.

Now let us look at some data about listed companies. Two peer-reviewed studies examined the ESG communications of the same Nifty 50 companies. The first study done in 2022 found greenwashing present in 54 percent of Nifty 50 firms ESG reports, and a later study done in 2025, found greenwashing in 47 percent.

A 2022 CRISIL report also found that nearly 80 percent of 586 companies it studied, had weak ESG scores.

Now we will look at the amount of money involved in these claims. ESG fund assets under management grew from 331 million US dollars in January 2020 to 1.2 billion dollars by March 2024. ESG debt in India reached roughly 56 billion dollars by December 2024. India is already the fourth-largest source of sustainable debt among emerging markets.

A 2023 study by RBI also found that ESG-based stocks earned higher returns than the market. So there is a measurable incentive to make these claims, whether or not they are true.

Greenwashing therefore distorts the information on which consumers, investors, and regulators rely upon. It affects both consumer choice and the allocation of capital.

Slide 5 -- Research Gap

Next we look at the research gap.

As we can see on the slide. There is a lack of integrated analysis of the laws and regulations tackling greenwashing.

There is limited doctrinal work on board-level accountability for environmental claims.

The regulatory fragmentation problem has not been sufficiently examined.

There is limited analysis of the structural reasons for low Enforcement in this domain.

And there is limited study on Verification & Assurance Gaps that plague Indian regulation in this regard.

My study addresses these gaps by treating greenwashing as a corporate governance failure at the intersection of company law, securities disclosure, and consumer protection.

Slide 6 -- Research Methodology

The study is comparative, qualitative and analytical. I focussed on identifying, analysing, and synthesising legal rules and standards.

The slide lists my sources. They include Indian statutes, decisions of the Supreme Court, etc.

For the jurisprudential analysis, I used Hohfeld's framework.

For statutory interpretation, I used textual, contextual, and purposive analysis of relevant acts and regulations.

For the comparative component, I looked at regulations from EU, US, UK, and Australia, as well as selected developing countries.

I also carried out a critical assessment of the Indian regulatory system pertaining to Greenwashing.

Finally, throughout the study, I distinguished between what the law currently provides, and what it ought to provide.

Slide 7 -- Hypotheses

The study tests three hypotheses.

My first hypothesis is related to Accountability Failure.

My second hypothesis, the Liability Shield.

My third hypothesis relates to incompleteness of Regulatory System.

These three hypotheses reinforce each another. Governance gaps under H1 are amplified by non-deterrent sanctions under H2, and both are enabled by fragmented regulators under H3.

Slide 8 -- Chapter Outline

The thesis is organised into six chapters.

Chapter 1 introduces the study.

Chapter 2 conceptualises greenwashing and the corporate governance response.

Chapter 3 deals with corporate responsibility and accountability, including the jurisprudential analysis.

Chapter 4 presents the international comparative perspective.

Chapter 5 maps the Indian regulatory ecosystem.

Chapter 6 concludes the thesis.

The remaining slides follow the research questions rather than the chapter order.

Slide 9 -- How Greenwashing Has Evolved and Its Consequences

First, we will focus on research question 1, which asks what greenwashing is, how it evolved, and what its consequences are. This is dealt in Chapter 2 of thesis.

To define greenwashing, one of definitions is in new CCPA Greenwashing Guidelines. It identifies three kinds of conduct. These are concealing or omitting information, making vague, false, or unsubstantiated claims, and using misleading words and imagery that emphasise the positive aspects while downplaying the harmful ones.

That is a broad and useful definition. However, it is important to note that it appears in guidelines, not in binding regulations.

Next, how greenwashing has evolved. The key insight is that the unit of deception has expanded. Around 1986, it operated at the product level, through claims, seals, and imagery on a package. From the 1990s, it moved to the corporate level, where a brand halo masks what operations actually do. Today, it operates at the ESG and financial level through BRSR reports, green debt, ESG funds, and net-zero claims.

A wider scope means higher stakes. A false claim on a shampoo bottle misleads a shopper. A false claim in a BRSR filing or a green bond prospectus can redirect institutional capital.

Third, the harm is multi-layered. In climate terms, it delays real decarbonisation because a company that has announced a transition may face less pressure to carry it out. Financially, it misdirects green capital. It also erodes market trust and disadvantages genuinely green businesses, which bear real compliance costs while competitors bear only a PR cost.

Slide 10 -- India's Legal Ecosystem for Tackling Misleading Environmental Claims

Let me map the legal framework India already has. This is dealt in Chapter 5 of thesis.

The constitutional foundation is strong.

The Supreme Court has reinforced the constitutional foundations via judgements like *Tata Consultancy Services v. Cyrus Mistry* and *M.K. Ranjitsinh*.

The relevant legal framework can be divided into three main pillars, and I will briefly examine each one.

The first is consumer protection, covering the Consumer Protection Act 2019, the CCPA, consumer courts, and ASCI, which govern misleading advertisements. Its strength is its jurisdiction over advertisements.

The second is securities and finance, involving SEBI, its BRSR and BRSR Core and the ESG debt rules and the PFUTP Regulations. Its strength is that it has formalised ESG reporting.

The third is corporate governance, through the MCA and the Companies Act, which place environmental care within directors' duties. Its strength is the strong wording of Section 166(2).

There are also complementary regimes. Two are worth naming. The Environment Protection Act 1986 supplies objective benchmarks against which a green claim can be tested.

The NGT has suo motu powers and can impose proportionate fines, although it is a tribunal rather than a regulator.

So the architecture exists and, on paper, is comprehensive. The rest of my presentation asks whether these parts work together, and I will discuss the limitations of each pillar over the next few slides.

Slide 11 -- Limitations of Consumer Law in Tackling Greenwashing

Now, we will look at some of the main limitations of CCPA Greenwashing Guidelines:

1. Guidelines without Governance Obligations: They prescribe what environmental claims must demonstrate but no obligation is imposed on the boards to establish verification systems or on audit committees to provide assurance over sustainability claims or on directors to certify the accuracy of environmental representation. The guidelines regulate the output or the claims without addressing the organization conditions that produce it.

2. No Board Level Deterrence: Because its remit is restricted to consumer facing products and ads only; the institutional greenwashing such as corporate PR campaigns, annual sustainability overstatements that do not mention any specific product or service are allowed.

3. Weak Oversight on Future Claims: It permits futuristic claims, without mandatory interim milestone reporting and no independent verification of progress or a penalty on non-delivery of these targets. Example: "committed to sustainable future", "net-zero by 2040".

4. Visual Imagery & Puffery Loophole: It exempts generic nature visuals and exaggerated talk in advertisements, which leaves scope for greenwashing.

5. Fixed cap penalties: Not turnover linked. Fines are cheaper than the budgets of PR campaigns.

That is why the thesis argues for a corporate governance pathway. It moves enforcement to upstream level, requiring verified data before any claim leaves the boardroom.

It also uses Section 166(2), together with audit committees, to hold leadership responsible for the accuracy of sustainability reporting.

Slide 12 -- Greenwashing as a Corporate Accountability Failure

So far we have seen what greenwashing is, how big the problem is, and what the law looks like on paper. Now let us ask a deeper question -- why does greenwashing happen in the first place?

My thesis argues that the answer lies inside the company itself. This slide answers Research Question 3 and provides the jurisprudential foundation.

Start with a basic question: what is a company in law? The thesis tests five classic theories of corporate personality. And the position closest to Indian law is the realist-stakeholder view -- a company is a real social actor. Its green promises are not just marketing; they create legal expectations. And Section 166(2) makes environmental care an inherent duty of that actor.

Now, I used Hohfeld's framework to test whether that duty actually works. As you can see on the slide, the Hohfeld matrix pairs every legal position with its opposite -- duty with claim-right, privilege with no-right, power with liability, immunity with disability.

Let me walk you through the four boxes.

First, look at Duty. Section 166(2) says directors must consider the environment. But here is the problem -- no affected stakeholder has a corresponding claim-right or standing to sue. So the duty stays on paper. It is aspirational and unenforced.

Second, Privilege. Management has commercial freedom to advertise. That is legitimate. But that privilege is not a licence to mislead. Greenwashing begins precisely when managerial discretion crosses into deception and unsubstantiated claims.

Third, Power. Companies hold the informational power because BRSR disclosures are still unverified. The public bears the risk of acting on that information, but has no upstream verification mechanism. The information asymmetry is structural.

Fourth, Immunity. The corporate veil protects the individuals who benefit from a green reputation. ESG gains stay private; environmental harm is externalised. That creates a deterrence failure.

So the Hohfeldian diagnosis is clear -- greenwashing is not just a marketing wrong. It is an accountability failure written into the company's legal relationships. And the rest of my presentation asks what can be done about it.

Slide 13 -- Why Section 166(2) of the Companies Act Remains Weakly Enforced

If Section 166(2) is textually strong -- and it is -- then why has it produced so little enforcement? This begins Research Question 4.

There are three barriers, and you can see them as three columns on the slide.

The first column is substantive and doctrinal hurdles. The words "community," "environment," and stakeholder "best interests" in the statute remain undefined. The business judgment rule gives courts a reason not to second-guess commercial choices. And, most critically, there is no precedent connecting an environmental misstatement to a director's breach of duty.

The second column is procedural and standing barriers. Sections 241 to 244 open mismanagement petitions only to qualifying shareholders. External stakeholders -- the people most affected by the environmental harm -- are shut out. And there is no referral bridge: even when CCPA or SEBI finds greenwashing, that finding does not automatically trigger MCA action under Section 166(2).

The third column is remedial and economic deficits. Section 166(7) sets a penalty of just one to five lakh rupees. To put that in context, a single full-page newspaper advertisement can cost more than that. The penalty is simply too small to change boardroom behaviour, and it creates a short-term bias towards immediate profit.

So the duty exists in the statute. But it lacks three things -- an accessible claimant, a referral mechanism, and a credible penalty. That is why Section 166(2) remains, in practice, a paper tiger.

Slide 14 -- Limitations of SEBI's ESG Regime

Let us now move to the second pillar -- securities law. This is the second part of Research Question 4.

If I had to sum up the problem in one sentence, it would be this: BRSR improved the format of ESG disclosure, but its scope, assurance, and enforcement remain too weak to make greenwashing costly.

Look at the timeline on the slide. In 2021, BRSR became mandatory for the top 1,000 listed entities -- that was a positive step. In 2023, BRSR Core followed with defined KPIs, mandatory reasonable assurance, and value-chain reporting -- even more promising.

But then the direction reversed. In December 2024, assurance was softened to an "assessment or assurance" option. Value-chain reporting was deferred, made voluntary, and narrowed by a 2 percent threshold and a 75 percent cap. The scope was narrowed further in 2025.

So instead of tightening, the regime has been backsliding.

Three design problems follow. First, BRSR covers only listed companies -- large unlisted polluters remain entirely outside the regime. Second, single materiality means a company reports risks to itself from climate, but not its impact on the environment. That underreports the wider harm. Third, without sector-specific metrics, one company's ESG report is barely comparable to another's.

And on enforcement -- the most significant action so far, the Gensol-BluSmart case, was triggered by whistleblowers, not by any routine ESG market scan. In January 2025, a SEBI Whole-Time Member publicly flagged false BRSR claims. And yet, SEBI still has no dedicated ESG enforcement team.

Slide 15 -- India Has Legal Grounds But Enforcement Is Weak: A Comparison

This slide consolidates what we have seen across Chapters 3, 4, and 5 -- and the picture should now be familiar.

On the left side of the slide, you see what India already has in law. Section 166(2) explicitly places environmental protection inside directors' duties. Supreme Court decisions -- Tata Consultancy v. Cyrus Mistry and M.K. Ranjitsinh -- affirm environmental duties and climate rights. BRSR formalises sustainability disclosure. The legal foundations are genuinely strong.

But none of this has yet been converted into visible, routine enforcement.

Now look at the right side -- the international comparison, and the contrast is stark.

In Australia, ASIC recorded 47 greenwashing-related regulatory interventions in just 15 months ending June 2024. In the United States, the FTC and SEC brought more than 90 enforcement actions between 2021 and 2023. In the EU, France's competition authority alone issued 141 warnings and 114 injunctions.

India has comprehensive rules on paper, but it does not have comparable routine enforcement. So the gap is not simply a drafting problem -- something else is going on. And the next slide examines what that is.

Slide 16 -- India's Enforcement Gap Is a Design Problem: A Comparative Study

The comparative evidence tells us that India's enforcement gap is not just an implementation problem -- it is a design problem.

Let me walk you through the three international examples on the slide and then contrast them with India.

The EU has built an integrated architecture. CSRD provides direct board accountability, double materiality, phased assurance, and standardised reporting through ESRS. On top of that, the Green Claims Directive requires lifecycle substantiation and accredited verification before publication -- not after.

The UK has aligned its regulators. The FCA requires claims to be fair, clear, and evidence-backed. The CMA can fine up to 10 percent of global turnover. They act as one coordinated enforcement structure, not as silos.

Australia has delivered visible enforcement. That A\$11.3 million penalty against Mercer Super sent a clear signal. ASIC and the ACCC treat greenwashing as a joint priority.

A common feature across all three -- turnover-linked penalties.

Now, compare that to India. On the slide you can see five design failures. No integrated architecture linking Section 166(2), BRSR, and the CCPA Guidelines across

the lifecycle of a claim. No operational coordination protocol between regulators. Poor enforcement not just under Section 166(2), but also under BRSR and the CCPA Guidelines. Backsliding rather than tightening. And fixed-cap penalties that are far below global practice -- fifty lakhs under CCPA, five lakhs under Section 166(7), ten lakhs under FSSAI.

This creates what I call "penalty arbitrage": when the maximum fine is smaller than the marketing budget, greenwashing becomes a rational business decision. The lesson is straightforward -- regulators need structural reform, not simply more effort.

Slide 17 -- International Best Practices: A Comparative Benchmark

This slide answers Research Question 5. The comparative study identifies ten design features that work, and they can be grouped into four principles. You can see all ten listed on the slide.

The first principle is: prove before you publish. This covers pre-approval for claims, lifecycle assessment, phased third-party auditing, and a reversed burden of proof -- the company must prove its claim is true, not the consumer disprove it.

The second principle: measure the full impact. This means double materiality -- disclosing not just risks to the company, but the company's impact on the planet. It also includes mandatory Scope 3 reporting and specific standards for carbon claims.

The third principle: prohibit ambiguity. Terms like "eco-friendly" or "green" should be banned unless supported by measurable evidence. If you cannot put a number to the claim, you should not be making it.

The fourth principle: make violations costly and coordinated. That means turnover-linked penalties in the range of 4 to 10 percent of revenue, shared data across regulators, and joint investigations.

These features are drawn from the EU, UK, Australia, Canada, and Colombia. Together they form the benchmark against which my recommendations for India are framed.

Slide 18 -- Other Gaps in Indian Regulatory Ecosystem

Before we come to the recommendations, Chapter 5 identifies three further gaps that need mentioning.

The first is definitional fragmentation. CCPA, SEBI, and ASCI each define greenwashing differently, based on their separate mandates. Worse, key technical terms -- "carbon neutral," "net zero" -- remain legally undefined in India. That means a company's legal team can focus on finding the safest wording rather than achieving real decarbonisation.

The second is what I call the Green Taxonomy Paradox. A single green claim may touch CCPA, SEBI, MCA, FSSAI, and MoEFCC simultaneously. In May 2025, the government introduced yet another voluntary framework -- the Sustainable Finance Taxonomy. The intention was good, but the effect was to answer fragmentation with more fragmentation. There is still no lead regulator, no mandatory data-sharing protocol, and no joint investigative capacity.

The third gap is scientific and technical capacity. Regulators lack specialised in-house expertise in carbon accounting and lifecycle auditing. India also lacks joint enforcement teams, shared technical experts, and a unified enforcement database for greenwashing matters.

The takeaway is simple -- a rule can be well drafted and still fail if the system cannot verify the claim behind it.

Slide 19 -- General Suggestions for Regulatory Reform

We now come to recommendations, based on Chapter 6. Let me start with institutional reform.

There are five proposals on the slide, and I will walk through each briefly.

First, institutional integration. Create a permanent inter-regulatory council linking MCA, SEBI, CCPA, MoEFCC, CPCB, BIS, and FSSAI. Its main job would be to harmonise the meaning of an environmental claim across advertisements, investor filings, and technical reports -- so that one definition governs all contexts.

Second, a lead regulator model. Designate a coordinating agency responsible for mandatory cross-referral, shared evidence protocols, and common definitions. Existing regulators keep their powers, but the system gets a single point of accountability. This replaces multiple conflicting inspections with one coordinated approach.

Third, standardised verification. Require ex-ante claim substantiation -- verify before publication, not after. This includes lifecycle assessment, product-category rules, and accredited third-party verifiers for each type of environmental claim.

Fourth, proactive surveillance. Move from complaint-driven to intelligence-led enforcement. That means routine market sweeps in high-risk sectors, anomaly detection, and cross-checking ESG claims against the pollution records already held by CPCB and state boards.

Fifth, enforcement capacity. Give relevant regulators -- especially SEBI -- in-house ESG surveillance teams. Create shared expert panels in carbon accounting, greenhouse-gas scopes, and ESG assurance. Without this technical muscle, even good rules will remain difficult to enforce.

Slide 20 -- Specific Recommendations for Legal Reform

These principles translate into specific amendments across three areas. The slide shows all of them, so let me walk through the highlights.

Starting with the Companies Act and MCA. The most important reform is direct statutory standing. A new Section 166(8) should allow affected persons, creditors, and consumer organisations to approach the NCLT directly -- without the Section 244 shareholding barrier that currently shuts out external stakeholders.

A new Section 135A should require boards that already meet the CSR thresholds to establish an ESG committee for ex-ante claim pre-approval. Section 177(9) should be amended to expressly protect whistleblowers who report environmental misrepresentations. And Section 166(7) needs teeth -- a penalty of up to 1 percent of turnover, with a minimum of five crore rupees, plus up to three years' director disqualification.

Under securities law, the backsliding on BRSR must be reversed. Mandatory reasonable assurance and full Scope 3 value-chain disclosure should be restored. Material ESG misstatements should be classified as fraud under PFUTP Regulations, with an automatic referral bridge to the MCA. BRSR should add impact materiality alongside financial materiality. And ESG rating providers should meet minimum competence and certification requirements.

Under consumer law, use Section 101 to elevate the 2024 CCPA Guidelines from voluntary guidance into binding delegated rules. Section 21 should provide turnover-based penalties of 1 to 4 percent, together with corrective advertising of equal prominence and duration. The puffery exception should be narrowed so that claims -- particularly net-zero claims -- require published transition plans and budgets.

Together, these reforms create one complete sequence: verify in the boardroom, assure in the capital market, refer across regulators, and make penalties meaningful.

Slide 21 -- Thank You

Thank you for your time and attention. I am happy to take any questions.